Credit Loss Ratio

A credit loss ratio measures the ratio of credit-related losses to the par value of a mortgage-backed security (MBS). Credit loss ratios can be used by the issuer to measure how much risk they assume. Different mortgage-backed securities and different sections within a mortgage-backed security—also referred to as tranches—have different credit risk profiles.

The **credit loss ratio** is a financial measure that shows how much money a lender (like a bank or credit card company) is losing because borrowers can't repay their loans. It's a percentage that compares the total **amount of loans** that have gone bad (defaulted or become uncollectible) to the **total amount of loans** the lender has given out.

In Simple Terms:

It tells you how much of the money that the lender has loaned out is **at risk** of not being paid back.

Formula:

Credit Loss Ratio= (Amount of loans lost (defaulted)×100)/(Total Loans given out)

Example:

If a bank has **loaned out INR 100 million** and **INR 2 million** of that is lost due to people not paying back, the **credit loss ratio** would be: 2mil*100/100mil = 2%

So, the bank has lost 2% of its loans due to defaults.

> 📣 **Key Takeaway: The lower the credit loss ratio, the better it is for the lender, as it means fewer loans are going bad. A higher ratio indicates that more people are defaulting, which can be risky for the lender.**